

- 2) Why is money considered to be neutral? What are its implications?

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- 3) Is classical theory applicable in the short run?

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1.6 LET US SUM UP

In this unit, we discussed different schools of macroeconomic thought that have evolved over time to respond to certain events in the world economy. Relying on the assumption of full flexibility of wages and prices, classical theory concludes that the economy always tends to equilibrium at the full employment level of output. Also, the capital market always ensures that there is enough demand in the market. The classical quantity theory of money determines the level of prices and wage rates without affecting the real economic variables. Classical theory advocates that policy intervention cannot influence output levels in an economy as it is self-adjusting. In the classical framework money considered to be neutral in the sense that it does not affect real variables.

1.7 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) In Section 1.3 we have given the important features of classical theory. Go through it and answer.
- 2) New-classical economics considers a general equilibrium framework, microfoundations and rational expectations.

Check Your Progress 2

- 1) Go through Sub-Section 1.4.1. Refer to Fig. 1.5 and describe the process.
- 2) The quantity theory of money ($MV = PY$) establishes the relationship between money supply, velocity of money, price level and output. When the velocity of money and the output level remain constant, an increase in money supply will lead to increase in prices.

- 3) According to the Say's law, supply creates its own demand. It rules out the possibility of unemployment in an economy.

Check Your Progress 3

- 1) It refers to the classical proposition nominal variables do not influence real variables in an economy. It arises from the classical assumptions of perfect competition and full flexibility in prices and wages.
- 2) Classical economists emphasized that money is demanded as a medium of exchange. An increase in money supply leads to proportionate increase in prices and wages; real variables such as output and employment remain unchanged.
- 3) Prices and wages may not be fully flexible. Rigidities in prices and wages may not lead to instantaneous adjustment in output and employment. Thus, classical theory may not be applicable in the short run.



UNIT 2 THE KEYNESIAN MODEL *

Structure

2.0 Objectives

2.1 Introduction

2.2 Components of Aggregate Demand

2.2.1 Consumption Function

2.2.2 Investment Function

2.3 Determination of Output in the Keynesian Model

2.3.1 Determination of Equilibrium Output

2.3.2 Investment Multiplier

2.3.3 Government Expenditure and Tax Multipliers

2.3.4 Open Economy Multiplier

2.4 An Alternative View of Equilibrium

2.4.1 Saving Function

2.4.2 Determination of Equilibrium Output

2.4.3 Paradox of Thrift

2.5 Liquidity Preference

2.5.1 Components of Demand for Money

2.5.2 Liquidity Trap

2.6 Role of Government in the Economy

2.7 Let Us Sum Up

2.8 Answer/Hints to Check Your Progress Exercises

20.0 OBJECTIVES

After going through this Unit you should be in a position to

- appreciate the assumptions underlying the Keynesian model;
- explain the concepts of consumption function and saving function;
- identify the factors affecting investment demand;
- show that equilibrium output in the Keynesian model is determined by the level of aggregate demand;
- explain the various types multipliers in the Keynesian system;
- explain the paradox of thrift;
- explain the concepts of liquidity preference and liquidity trap; and
- discuss the Keynesian view on the role of the government in the economy .